

Group work set 4: Investment Climate

Q1. In the developing country of “DevLand”, there is an ongoing war between two tribes: Baba and Kuju. Each of the tribes has its own separate land registry, which reflects only the rights of the members of the tribe (inter-tribe transactions are hence never registered). Both registries can be accessed at any time, but the Baba tribe grants free access to its registry whereas the Kuju tribe charges a 100 EUR fee for viewing records on the registry. The administrative costs of maintaining a registry are 5 EUR per viewing, in both tribes. Furthermore, the chief of the Kuju tribe sometimes “confiscates” lands from his tribe members in exchange for compensating them..

The tribes want to improve the investment climate in DevLand and turn to you for advice. Give examples of at least three problems with the current situation and suggest at least one solution for each of the problems

Q2. In the distant land of “Tribulia”, there are two tribes, the Aroya and the Belara. The two tribes have traditionally traded feathers with one another, as both use them in ceremonies. The Aroya tribe decided to regulate the market for feathers within their tribe in the following way: any Aroya tribe member who wants to sell feathers to another Aroya member must first inform the tribe leader’s nephew, who is an experienced trader. The Belara tribe hears about this and decides to do the same: every deal must be approved by the Belara leader’s nephew, who is currently 10 years old. In addition, the Belara tribe required any feathers trader to register at three locations, located in opposite sides of the country, light a fire, and wait 3 days until the smoke disappears. The Aroya hears about Belara’s changes and responds by imposing a tax on feathers, which applies to anyone who is caught drawing an image of a feather in the sand when the wind is blowing at exactly 15.3 kilometers per hour.

As a result of these events, both tribes are now struggling with poor investment climates and economic stagnation. You are an economic advisor for these tribes. Provide **three** (reasonable) recommendations based on the course material on how to improve the investment climate in Tribulia. [25 points]